ARTICLE 1 DEFINITIONS AND INTERPRETATION

This Facility Agreement is made between Malwa Textiles Limited (the Borrower) and Bharat Commercial Bank Limited (the Lender) for a term loan facility of INR 75 crore.

Business Day means a day on which banks are open for general business in Mumbai. Financial Year means the period of twelve months ending on 31 March of each year.

EBITDA means profit before tax, interest, depreciation and amortisation, as shown in the audited consolidated financial statements of the Borrower.

ARTICLE 2 THE FACILITY

The Borrower may request a drawdown by giving the Lender not less than 5 (five) Business Days notice, and each drawdown shall not be less than INR 25 crore.

The Borrower may prepay the facility after giving not less than 30 (thirty) days prior written notice to the Lender.

ARTICLE 5 FINANCIAL COVENANTS

5.1 The Borrower shall maintain a Net Worth of not less than INR 45,000 lakhs.

5.2 Debt to Equity shall not be more than 1.75 times.

5.3 The Interest Coverage Ratio shall not be less than 3.00 times.

ARTICLE 8 UNDERTAKINGS

8.1 The Borrower shall not, without the prior written consent of the Lender, create any lien over its assets.

ARTICLE 9 EVENTS OF DEFAULT

Any amount unpaid for more than 7 (seven) days after its due date is an Event of Default.

A cure period of 30 (thirty) days applies to any breach of the financial covenants that is capable of remedy.